



MEXICO MANAGER COMPLIANCE GUIDE

*Detailed Guide to Workplace Policies and
Expectations*

C O N F I D E N T I A L

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How to Use This Guide

This guide consolidates, in one place, the labor-compliance responsibilities that fall on managers overseeing employees in Mexico. It brings together previously scattered policies, FAQs, and job aids into a single, easy-to-navigate reference and serves as the primary resource for day-to-day people decisions involving Mexico-based employees.

This guide is an internal manager reference and does not replace Mexican labor law, individual employment agreements, company policies and/or arrangements, or case-specific Legal/HR advice.

How it is organized

Each chapter pairs a plain-language explanation of the rule with the manager's specific responsibility, a process map or decision tree where a workflow exists, and call-out boxes that flag the highest-risk moments. Look for these markers throughout:

- **Manager Alert** - a high-risk action where a misstep creates legal or financial exposure.
- **Escalate Now** - stop and involve HR or Legal before proceeding.



Who this is for

- Managers based outside Mexico who have one or more direct or indirect reports located in Mexico.
- HR Business Partners, People Operations, Payroll, and Legal partners who support those managers.
- New people-leaders inheriting a Mexico-based team for the first time.

THE GOLDEN RULE:

When in doubt, do not act alone.

Mexico is one of the most employee-protective jurisdictions in the world.

Nearly all major decisions involving people (such as contracts, overtime, discipline, and particularly termination) should be made in collaboration with your local HR Business Partner and, if indicated, Legal. This guide explains when this is necessary.

Chapter 1 - Why Mexico Is Different

Managers who have only led teams in the United States or in other "at-will" markets often carry assumptions that do not fully apply in Mexico. This chapter revises those assumptions prior to any decision regarding personnel being made.

1.1 An employee-protective framework

Mexican labor relationships are governed by the Ley Federal del Trabajo (Federal Labor Law, or "FLL"). The FLL is built around the protection of the worker. Rights are statutory, generous relative to many countries, and difficult to waive, even by mutual agreement.

Practically, this means the burden of proof in almost any dispute sits with the **employer**. Documentation is your protection.

1.2 There is no "at-will" employment

In the United States, an employer can generally end employment for any lawful reason. That concept does not exist in Mexico. While an employer may decide to end an employment relationship without a legally recognized cause, doing so generally results in an unjustified dismissal and requires payment of the applicable statutory severance.



MANAGER ALERT!

Never say or write "at-will," "probationary at-will," or "we can let you go anytime" to or about a Mexico-based employee. These phrases are unenforceable against the employee and can be used as evidence of an unlawful dismissal intent

1.3 The role of the CFCRL and labor courts

Mexico reformed its labor-justice system between 2019 and 2023. Disputes no longer start in the old Conciliation and Arbitration Boards. Instead:

- The CFCRL (Federal Center for Conciliation and Labor Registration) runs a mandatory, out-of-court conciliation stage that most disputes must pass through before any lawsuit can be filed.
- Labor Courts (Tribunales Laborales), part of the judicial branch, hear cases only if conciliation fails.

A large majority of disputes are now settled at the conciliation stage rather than in court. This makes early, well-documented, HR-led handling of any issue far more important than litigation strategy.

1.4 What this means for you as a manager

Your assumption (other markets)	The reality in Mexico
"I can hire as a contractor to stay flexible."	Outsourcing/contractor use is heavily restricted. Misclassification creates back-pay and benefit liability.
"Probation means I can part ways freely."	Employees accrue rights and benefits from day one, including during any trial period.
"Overtime is a scheduling detail."	Overtime is tightly capped and premium-paid; mishandling it is a common source of claims.
"If it isn't working out, we part ways."	Separation requires documented cause or full statutory severance, plus a conciliation step.
"HR will catch any problem."	Your documentation (or lack of it) is often the key evidence. The trail begins with you.

Managers should engage with their HRBP before the end of any trial or initial training period to assess performance, document concerns, and determine appropriate next steps. While trial periods do not eliminate employee protections, early review helps ensure that any employment decisions are handled consistently and properly documented.



ESCALATE NOW

These rules apply to you if you manage even a single employee in Mexico, regardless of your location or the entity issuing your paycheck.

Chapter 2 – Employment Contracts

Mexico recognizes several types of employment relationship. Choosing the wrong one, or letting the right one lapse into the wrong one, is one of the most common and costly mistakes. Managers do not draft contracts, but managers trigger the decisions that determine which contract applies.

2.1 Contract types at a glance

Contract type	When it applies	Key manager-relevant rule
Indefinite (full-time)	The default for any ongoing role. Most Insulet Mexico employees should be here.	Presented to the employee on Day 01 for signature.
Fixed-term / specified-task	Only in specific, justifiable cases (e.g., a defined project, a temporary substitution, local trainee programs).	The justification must exist in fact, not just on paper and should only be approved by Counsel.
Trial / initial training period	A limited evaluation window at the start of indefinite employment, where permitted.	Employee still receives full pay, benefits, and social security throughout.
Outsourcing / contractor ("subcontratación")	Generally PROHIBITED for a company's core/economic activity since the 2021 reform. Allowed only for narrowly defined specialized services that are registered with the authorities.	Do not engage "contractors" to perform ongoing Insulet work. Route any such need to HR/Legal first.

2.2 The fixed-term auto-conversion rule

A fixed-term contract is only valid while its justifying reason lasts. If the stated term ends but the employee keeps working, the relationship is treated by law as having converted to an indefinite (full-time) relationship, automatically, with all the protections that implies.



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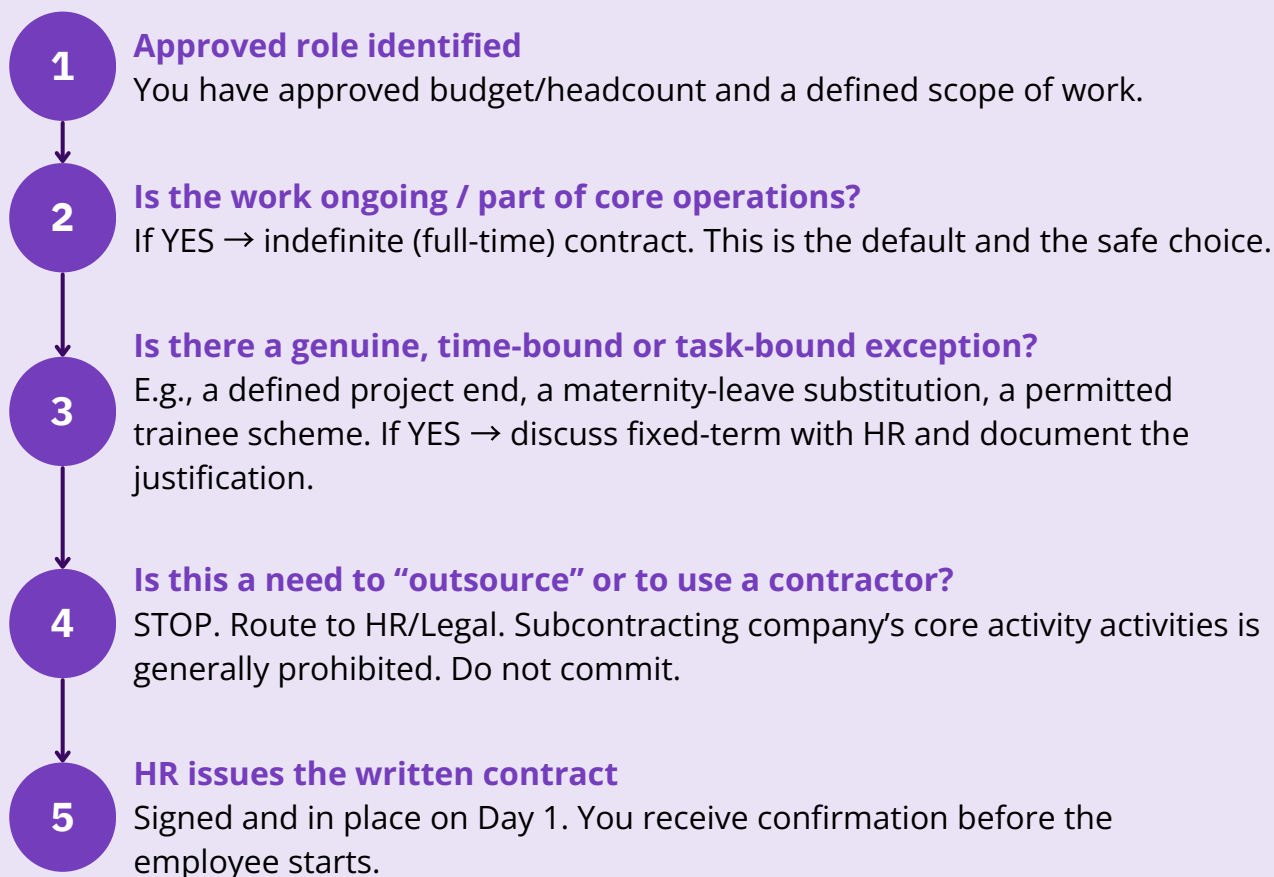
Always actively manage fixed-term contracts to avoid unintentional extension. If ongoing work is expected, it should be a deliberate decision that requires HR approval before the contract expires. Informally extending a fixed-term contract can quickly turn it into a permanent arrangement and jeopardize the protections associated with its fixed term.

2.3 Dos and Don'ts

✓ Do	× Don't
Involve HR in any non-indefinite arrangement and keep the justification on file.	Choose fixed-term to “keep options open” when the work is actually ongoing.
Treat trial-period employees as full employees in every respect.	Assume a trial period lets you skip benefits, overtime, or documentation.
Route any contractor/outsourcing idea to HR/Legal before any commitment.	Engage individuals as “contractors” to perform recurring Insulet work.
Flag well before a fixed-term end date if the role should continue.	Let a fixed-term contract lapse while the employee continues working

2.4 Process map — choosing the right contract

Use this decision flow when you have an approved headcount need. HR owns execution; you own the early, honest characterization of the work.



Chapter 3 – Working Hours & Overtime

Overtime is one of the most common sources of labor claims in Mexico, and the rules differ sharply from those in other markets. They are also subject to ongoing legislative change. Managers must treat working time as a compliance matter, not just a scheduling preference.

3.1 Standard shifts and limits

Shift type	Maximum length	Statutory Maximum work week	Notes
Day shift	8 hours	40 hours (starting on 2027)	Standard daytime working hours.
Night shift	7 hours		Shorter limit reflects night work.
Mixed shift	7.5 hours		Combines day and night; night portion must stay under the legal threshold.

The standard work week is structured around these limits.

3.2 Overtime caps

- Overtime should be manager-approved only for extraordinary circumstances prior to the work carried out and must comply with the statutory weekly and daily limits.
- Current Labor Law rules allow up to 12 extraordinary hours per week, distributed up to 4 hours per day in a maximum of 4 days; any additional extraordinary time must be validated by Legal/Payroll before implementation.
- Overtime must be genuinely voluntary (not assumed or pressured), authorized in advance, documented in writing, and properly tracked and compensated in accordance with applicable law and company procedures.

3.3 How overtime is paid

Overtime is triggered only after an employee has exceeded the applicable working-hours limits established by law and/or their employment agreement. Managers should not assume that additional hours automatically qualify as overtime; all hours worked must be reviewed against the employee's scheduled and legally permitted working time before overtime premiums are applied.

Overtime band	Premium	Plain-language meaning
First 9 overtime hours in a week Authorized extraordinary time within the statutory weekly cap	100% additional premium ("double pay")	Paid at twice the normal hourly rate.
Extraordinary time exceeding	200% additional premium ("triple pay")	Paid at three times the normal hourly rate.
Sunday work (Prima Dominical)	Additional 25% premium	Employees whose regular schedule includes work on Sunday are entitled to an additional 25% premium on that day's salary.
Work on a mandatory rest/holiday day	Premium in addition to pay	Employees who work on a mandatory rest day or statutory holiday are generally entitled to their regular pay plus an additional 200% premium (triple pay in total).

3.4 The most dangerous overtime mistakes



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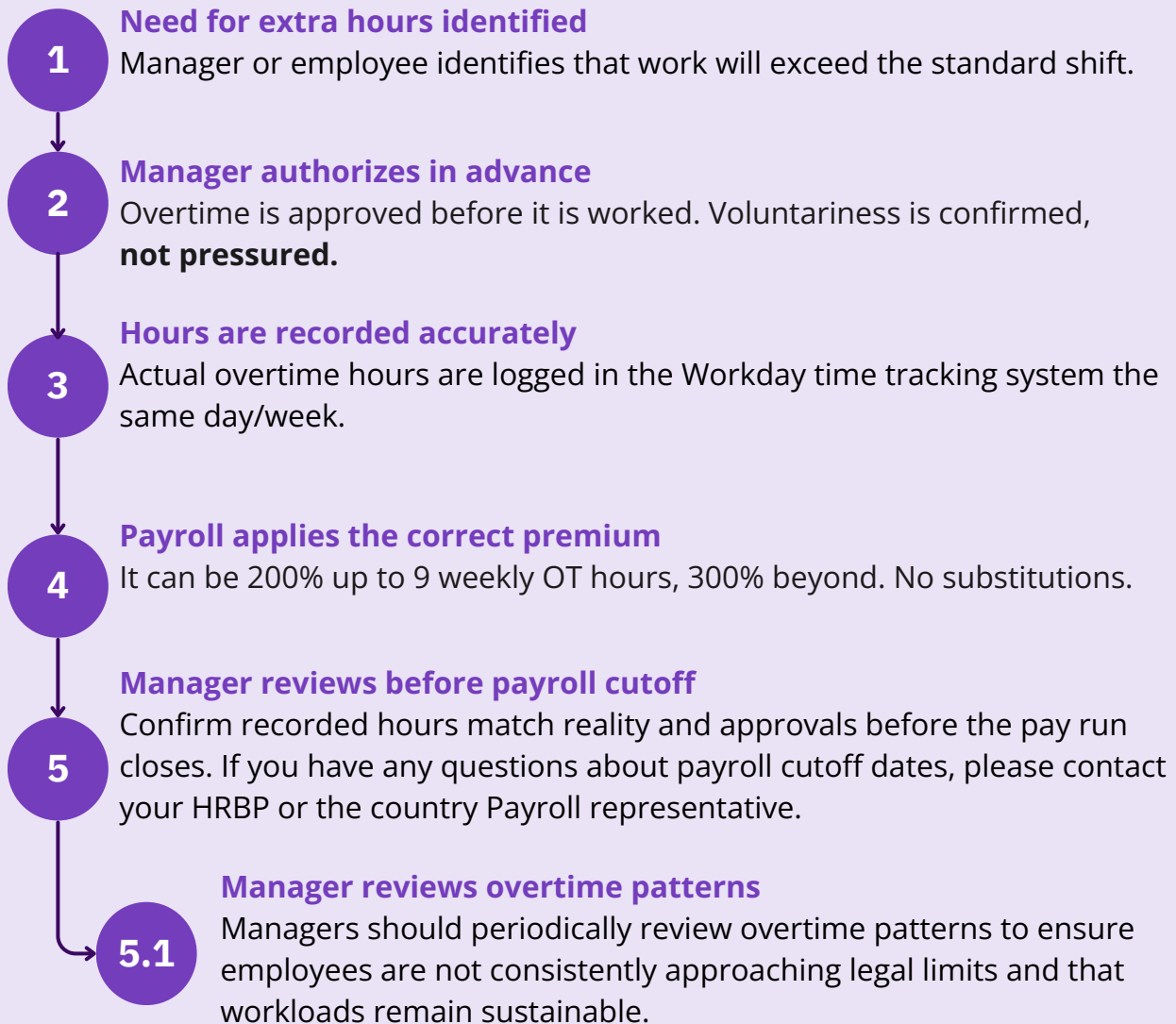
Do NOT try to replace overtime pay with a one-time "bonus," a flat allowance, comp time, or an off-record cash payment.

Replacing a discretionary payment with properly calculated overtime presents legal risks and is often contested as underpayment, potentially resulting in penalties and back-pay.

It is imperative to record all overtime accurately; claims such as 'they volunteered' or 'it was just a busy week' are not valid defenses. Maintaining precise time records is compulsory, and a lack of such records will be interpreted unfavorably against the employer.

3.5 Overtime authorization workflow

Use this decision flow when you have an approved headcount need. HR owns execution; you own the early, honest characterization of the work.



Chapter 4 — Payroll & Statutory Benefits

While managers don't handle payroll directly, their actions, such as approving hours, expenses, leaves, and schedules, directly impact payroll results. Mexico requires a set of statutory benefits that cannot be waived. This chapter explains these benefits and, importantly, distinguishes between what managers own and what HR and Finance are responsible for.

4.1 Core statutory benefits

Benefit	What it is	Manager-relevant note
Aguinaldo (Christmas bonus)	A mandatory year-end bonus of 30 days' salary, paid by December each year.	Plan workloads and approvals so December payroll is not disrupted.
Vacation* & vacation premium	Paid annual leave plus a vacation premium on top of regular vacation pay.	Approve leave fairly and on time; do not pressure employees to forgo accrued vacation.
PTU (profit sharing)	Statutory employee profit sharing, distributed within a set window each year.	No action needed, managed by HR
IMSS (social security)	Mandatory enrollment and contributions for health, risk, and related coverage.	No action needed, managed by HR
INFONAVIT (housing fund)	Mandatory employer contributions to the national housing fund; may include payroll deductions for employee housing credits.	No action needed, managed by HR
Sunday premium	An additional premium when the regular schedule includes Sunday work.	Factor into any schedule that touches Sundays; confirm with Payroll.

***Vacation entitlement is generally earned upon completion of the first 12 months of service. Once granted, employees typically have up to 18 months to use their accrued vacation entitlement.**

4.2 Who owns what

Activity	Manager owns	HR / Payroll / Finance owns
Time & overtime records	Authorizing and reviewing hours accurately and on time.	Calculating premiums and processing the pay run.
Statutory benefits	Approving leave; planning around mandatory dates.	Calculating, funding, and disbursing benefits.
New-hire setup	Timely notice of start date and role.	IMSS/INFONAVIT registration and enrollment.
Pay questions from employees	Listening, then routing to HR/Payroll.	Providing a clear answer.



MANAGER ALERT!

Never approve, suggest, or tolerate any “off-payroll,” cash-in-hand, or “we’ll true it up later” arrangement. Every peso of compensation must run through proper payroll with correct contributions. Informal arrangements expose both the company and you personally.

Chapter 5 — Performance Management & Discipline

This chapter is the foundation for Chapter 6. In Mexico, the ability to part ways with an underperforming or misbehaving employee without paying full severance depends almost entirely on documentation that you, as a manager, create over time. The trail must exist before any termination is contemplated.

5.1 Why documentation is your protection

Since the burden of proof lies with the employer, maintaining a clear, current record can be the key to justifying a termination and avoiding costly legal disputes. “I know what happened” is not sufficient evidence; rather, a detailed, signed record with dates is.



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Documentation alone does not automatically create legal cause for termination under Mexican labor law. Performance documentation is an important tool for business decision-making, consistency, and risk management, but poor performance by itself may not always support a with-cause separation. Depending on the circumstances, performance-related separations may require a negotiated exit strategy and close coordination with Employee Relations, HR, and Legal.

5.2 Progressive discipline — building the record

Stage	What good looks like
Set clear expectations	Role expectations, standards, and goals are communicated in writing and acknowledged.
Document the gap	Specific, dated facts — what happened, when, the impact — not opinions or labels.
Verbal then written warnings	Employee Relations will be the primary point of contact to document each step with date, specifics, and the employee’s acknowledgment or a witnessed note of refusal to sign.

Stage	What good looks like
Improvement approach (e.g., coaching plan, PIP, or other corrective measures)	Employee Relations will be the primary point of contact to assess each case and determine the most appropriate path forward. This may include a coaching plan, a formal Performance Improvement Plan (PIP), or other corrective actions, depending on factors such as severity, supporting documentation, and prior management actions. All cases should be managed in close partnership with Employee Relations.[AEDLM1.1]
Review & decide	Document outcomes at each checkpoint. Involve your HRBP before any decision to separate.

5.3 The 30-day rule on cause



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If a specific act of misconduct could justify a with-cause separation, the law expects prompt action. Notice to the employee is generally required within a short window (commonly cited as 30 days) of the employer becoming aware of the act. Sitting on misconduct can forfeit the right to rely on it.

5.4 Consistency prevents discrimination claims

Treating similar situations differently is how a performance issue becomes a discrimination claim. If two employees commit the same infraction, the response should be comparable. Inconsistency, especially along lines of gender, age, pregnancy, or other protected characteristics, is read as a pretext.

- Apply the same standards and process to everyone on the team.
- Keep records factual and role-related; never reference protected characteristics.
- If you are unsure whether your response is consistent with past practice, ask your HRBP before acting.

Chapter 6 – Termination

This is the chapter managers most need and most often get wrong. **The core principle bears repeating: there is no at-will employment in Mexico.** A manager should never initiate, promise, or communicate a termination alone. Every separation, including a resignation, runs through Employee Relations and your HRBP.

6.1 Justified vs. unjustified

Type	What it means	Financial consequence
Justified (con causa)	Separation for a specific cause recognized by the FLL (a closed restricted legal list), supported by documentation and proper notice.	No statutory severance if the cause and process hold up, but the evidentiary bar is high.
Unjustified (sin causa)	Any separation without a documented, recognized cause, including “not the right fit,” restructuring done incorrectly, or a failed justified case.	Full statutory severance is owed (see 6.2).
Mutual agreement	Both parties agree to end the relationship, typically ratified before the conciliation center.	Negotiated terms; ratification gives both sides legal certainty.

6.2 Severance for unjustified dismissal

Where a dismissal is unjustified, the statutory package generally includes the following components. Treat these as the shape of the exposure, not a precise calculator; the actual figures depend on salary composition and tenure.

Component	General measure
Constitutional indemnity	3 months of the employee’s aggregate daily salary.
Seniority-based amount	20 days of aggregate daily salary for each year of service.
Seniority premium	12 days’ salary per year of service (capped per the statutory formula).
Accrued/benefits due	Proportional Aguinaldo, Vacation, Vacation Premium, Saving Funds, Interest Indexation, Bonus (when applicable) [AEDLM1.1] and other earned amounts.



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“Aggregate” salary includes more than base pay; it can pull in bonuses, allowances, and benefits in cash or kind. This is why real-world severance often exceeds a naive base-salary estimate.

6.3 The mandatory conciliation process

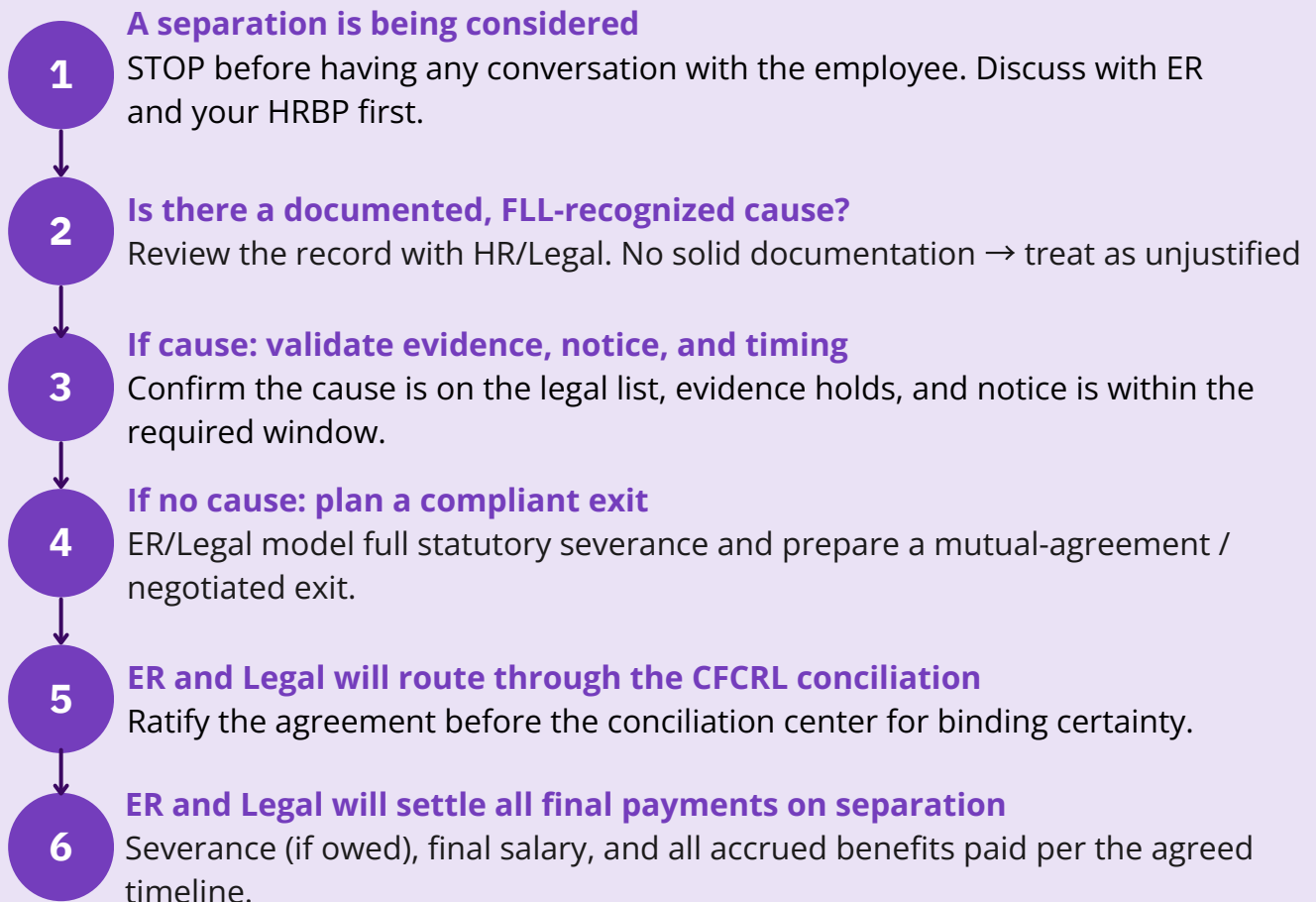
Before most labor lawsuits can be filed, the parties must attempt settlement through the CFCRL’s pre-trial conciliation. Negotiated exits are also commonly ratified before the conciliation center, which reviews the terms, confirms the employee’s rights are respected, and, once ratified, makes the agreement binding and hard to reopen.



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Because conciliation resolves the large majority of disputes, a well-prepared, HR-led, properly documented separation, ideally ratified before the conciliation center, is your strongest protection. This is never a do-it-yourself manager task.

6.4 Termination decision tree



Chapter 7 — Anti-Discrimination, Harassment & Workplace Safety

Mexican labor laws require employers to maintain a workplace free of discrimination, harassment, and violence, and to meet specific health and safety standards. Corporate global policies cover much of this, but Mexico imposes its own mandatory protocols and obligations that managers must actively support, not just acknowledge.

7.1 Mandatory protocols and standards

Obligation	What managers should know
Non-discrimination & anti-violence protocol	Employers must implement a protocol to prevent gender-based discrimination, workplace violence, bullying, and sexual harassment. A diversity/non-discrimination policy is a legal requirement, not optional.
NOM-035 (psychosocial risk)	This official standard requires identifying and preventing psychosocial risk factors, including harassment. It involves periodic questionnaires that employees must be allowed and encouraged to complete.
NOM-037 (Remote Work)	Establishes employer requirements for remote work, including workplace safety, ergonomic conditions, risk prevention, employee training, and mechanisms to verify that teleworking employees have adequate and safe working conditions. Includes a 3-year reimbursement fee for purchasing an ergonomic chair.
Forced/child-labor protocol	Employers must maintain a protocol to prevent forced and child labor.
Health & safety standards	General workplace safety obligations apply.
Substantive-equality duties	Recent reforms strengthen employer duties to promote equal treatment and provide training to prevent workplace violence, especially against women.

7.2 The manager's duty: recognize, report, never retaliate

Managers are usually the first to hear about a problem. What you do in the first hour matters enormously.

- Recognize. Take any report of discrimination, harassment, or violence seriously, however it reaches you.
- Report immediately; do not investigate independently. Any report or concern involving discrimination, harassment, workplace violence, or retaliation must be promptly reported through the appropriate channels, including your HRBP and/or Employee Relations.
- Protect confidentiality. Share only with those who need to know how to act.
- Never retaliate. Adverse action against someone who raised a concern is itself a serious violation.

7.3 Why inaction is so costly



MANAGER ALERT!

An employee who suffers discrimination, harassment, or violence can terminate their employment relationship with cause attributable to the employer and claim a full statutory severance, exactly as in an unjustified dismissal. In other words, ignoring a complaint can cost the company the same as firing the person without cause, plus reputational and regulatory exposure. Complaints can also be filed anonymously through government channels.

Chapter 8 — Consequence Matrix for Non-Compliance

This matrix makes the stakes concrete. It is a planning aid, not a precise prediction — actual outcomes depend on facts, tenure, salary, and counsel's assessment. Use it to understand why the responsibilities in this guide matter.

Action / inaction	Legal risk	Financial exposure	Reputational risk
Misclassifying an employee as a contractor / improper outsourcing	Reclassification, authority sanctions	High — back pay, benefits, contributions, penalties	Medium
Unrecorded or unpaid overtime; "bonus" substitution	Inspection, labor claim	Medium-High — back pay + penalties	Medium
Letting a fixed-term lapse into continued work	Auto-conversion to indefinite	Medium — lost term protections, future severance	Low
Terminating without documented cause	Unjustified-dismissal claim	High — full statutory severance + costs	High
Ignoring or mishandling a harassment/discrimination report	Employee rescission with cause; authority action	High — full-severance equivalent + penalties	Very High
Off-payroll or cash compensation	Tax, IMSS, INFONAVIT violations	High — assessments, penalties, personal exposure	High
Omitting NOM-035 / mandatory protocols	STPS inspection findings	Low-Medium — fines	Medium
Inconsistent discipline across the team	Discrimination claim	Medium-High — severance + damages	High



Note: Fines and indemnities in Mexico are frequently indexed to the UMA or to minimum-wage multiples, both of which rise annually.

Chapter 9 – Quick Reference

9.1 Escalation contacts

When you need...	Contact	Reach via
Day-to-day people questions	HR Services	Ask.hr@insulet.com
Contract, discipline, or termination	HRBP: Juan Jose Criado ER Partner: Paulette Guevara Legal: Ernesto Ramirez	E-mail
Pay, benefits, IMSS/INFONAVIT	Payroll: Perla Barajas	payroll@insulet.com
Harassment / discrimination report	Employee Relations	er@insulet.com
Anything urgent or unclear	HRBP: Miguel Barrera / Juan Jose Criado	E-mail

9.2 Red flags — stop and escalate immediately

- A fixed-term contract is near or past its end date, and the person is still working.
- Overtime is happening without authorization or accurate records.
- Someone proposes a “bonus,” allowance, or cash to replace overtime or wages.
- You are considering terminating someone’s employment — for any reason.
- You receive any report of harassment, discrimination, violence, or retaliation.
- You are asked to treat one employee differently from a comparable colleague

9.3 Mexican labor calendar (recurring)

Item	Timing	Manager action
Aguinaldo (Christmas bonus)	By December	Plan December approvals early
PTU (profit sharing)	Annual statutory window	Route employee questions to HR.
NOM-035 questionnaires	Periodic cycle	Enable and encourage participation.
Annual indexed updates (minimum wage, UMA)	Effective early each year	Treat prior figures as stale; confirm with counsel.

9.4 Glossary

Term	Meaning
FLL / LFT	Ley Federal del Trabajo — the Federal Labor Law governing employment in Mexico.
CFCRL	Federal Center for Conciliation and Labor Registration — runs mandatory pre-trial conciliation.
Aguinaldo	Mandatory year-end bonus (≥ 15 days' salary), paid by December 20. [AEDLM1.1]
PTU	Participación de los Trabajadores en las Utilidades — statutory employee profit sharing.
IMSS	Mexican Social Security Institute — health and social-security system and contributions.

9.4 Glossary

Term	Meaning
INFONAVIT	National workers' housing fund — mandatory employer contributions / housing credits.
UMA	Unidad de Medida y Actualización — indexed unit used to calculate many fines and thresholds.
NOM-035	Official standard on psychosocial risk factors, including workplace harassment.
Aggregate salary	Salary plus benefits in cash/kind used to calculate severance — broader than base pay.
Subcontratación	Outsourcing/subcontracting — generally prohibited for the company's core activity since the 2021 reform.